

CLEAR?

WEEK 4-2

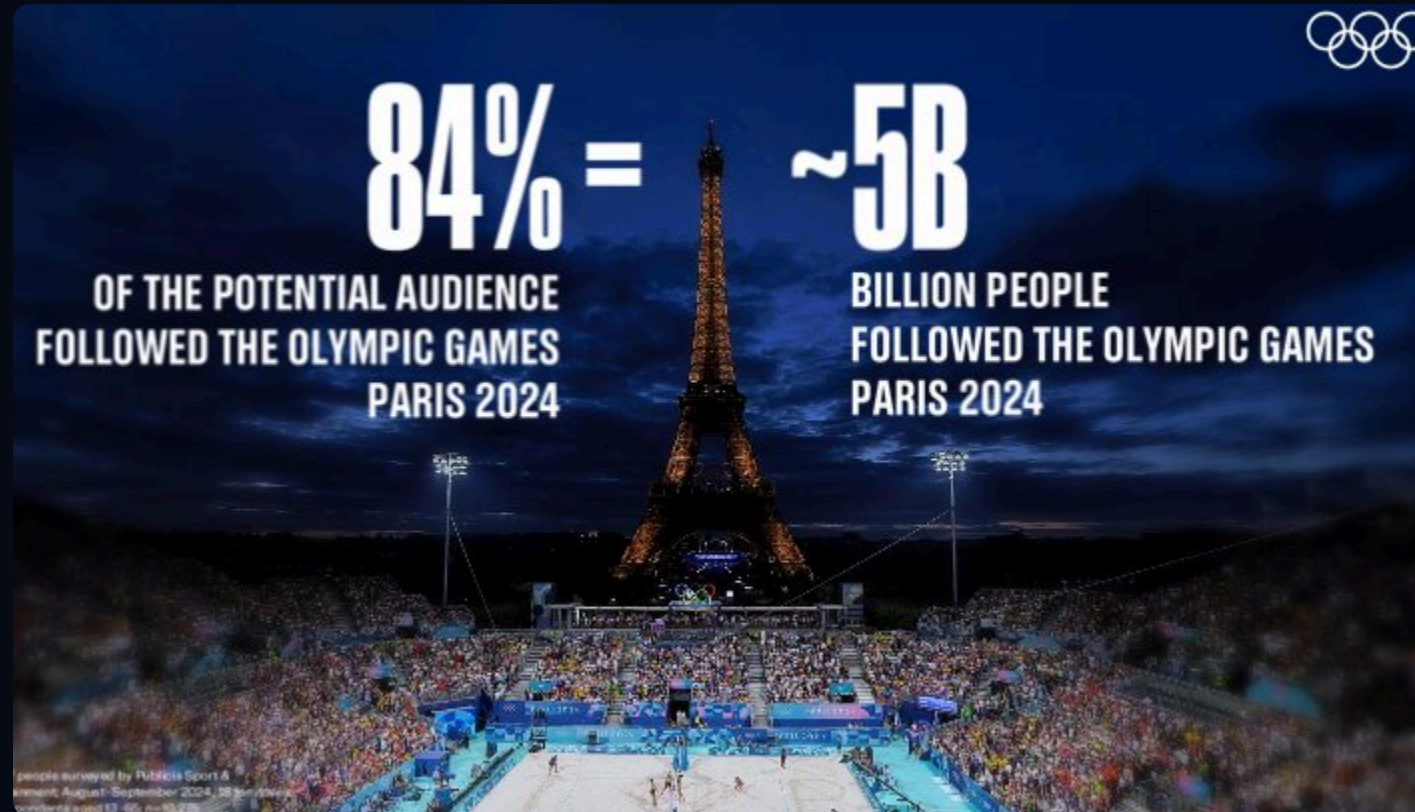
BMW'S OLYMPIC SPONSORSHIP STRATEGY

SPM261 Intro to Sport Management · Arcadia University



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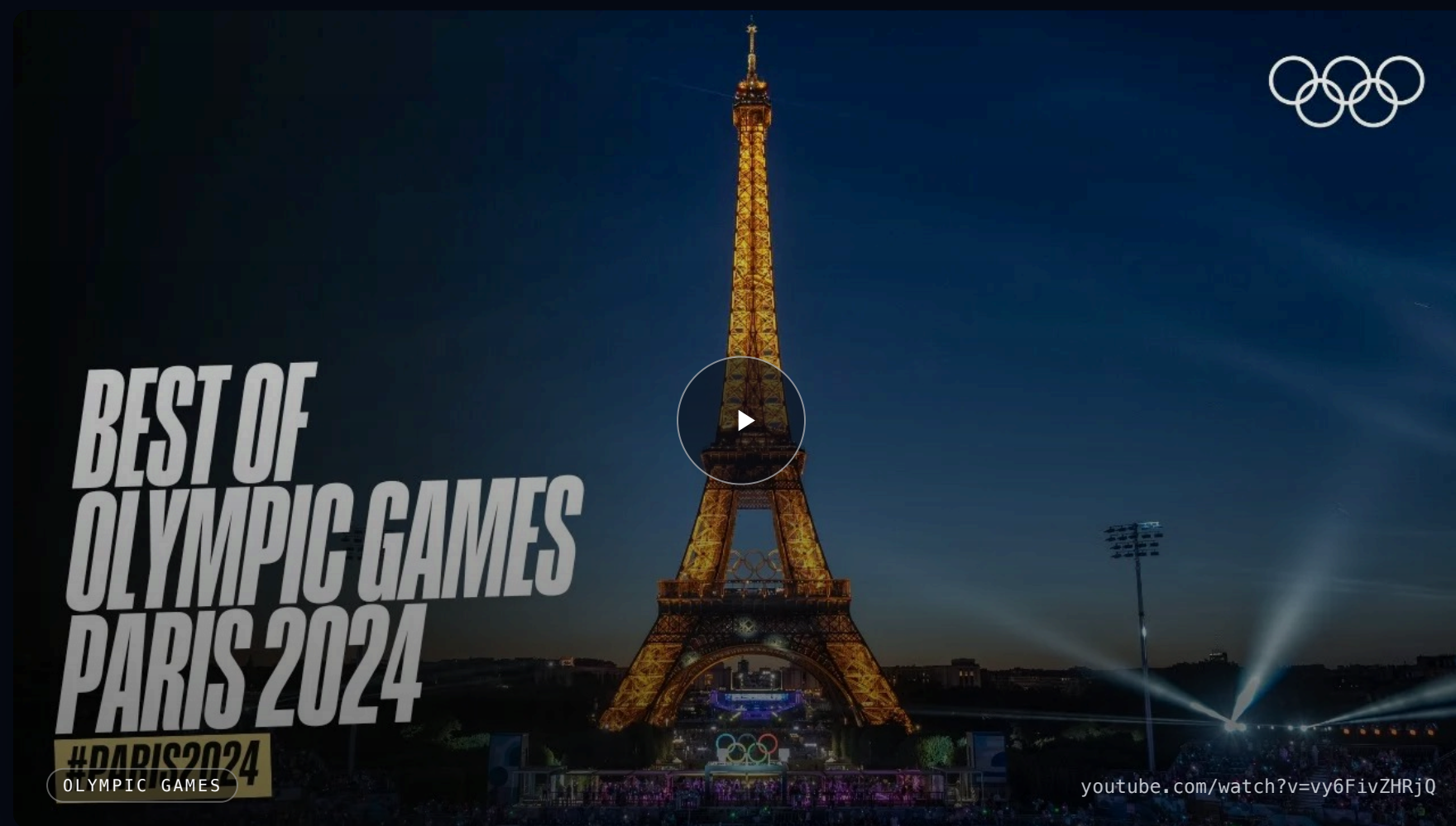
THE REACH



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WATCH

THE OLYMPIC PARTNER PROGRAM



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OLYMPIC SPONSORS (TOP)

The Olympic Partner (TOP) Program is the IOC's worldwide sponsorship tier. Its 14 current partners hold exclusive global marketing rights across every Olympic Games.

olympic.org/sponsors



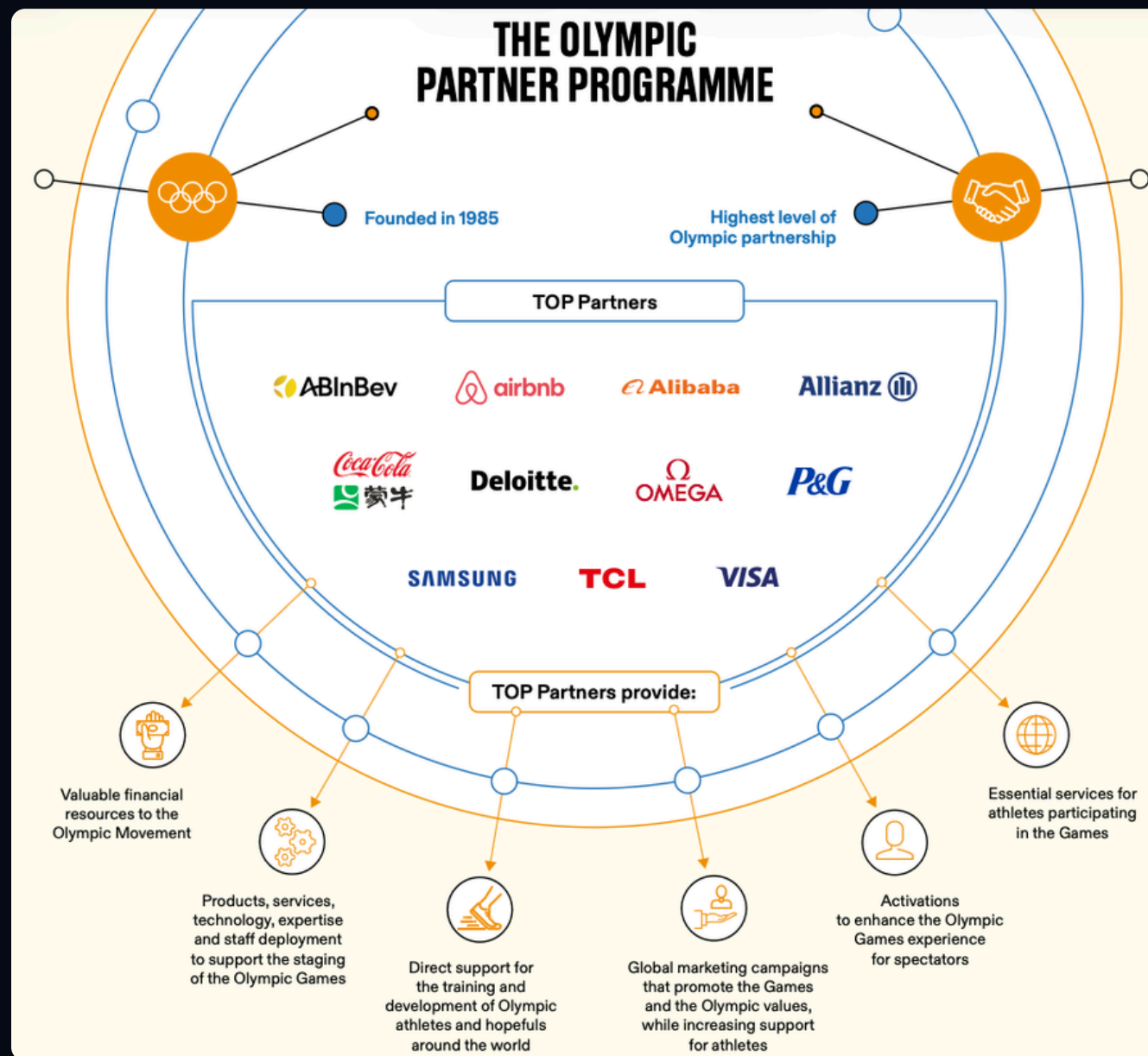
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“Worldwide Olympic Partnership — the highest level of Olympic sponsorship. The TOP Program provides each Worldwide Olympic Partner with **exclusive global marketing rights and opportunities.”**



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HOW TOP WORKS



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NO LONGER WORLDWIDE PARTNERS



BRIDGESTONE
2014 – 2024



TOYOTA
2015 – 2025

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ALIBABA GROUP

NEW PARTNER

- Worldwide Olympic Partner through 2028
- New partner of TOP IX, which starts in 2017
- Why? — Beijing hosted the 2022 Winter Olympics

A class poll appears below — cast your vote.



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HOW MUCH DO BUSINESSES PAY TO BE AN OFFICIAL OLYMPIC SPONSOR – ESPECIALLY A WORLDWIDE PARTNER?

\$0M

on average, for 4 years

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WHICH COMPANY HAS BECOME THE MOST RECENT OLYMPIC PARTNER – AND HOW MUCH DID THEY PAY?

AIRBNB

\$500 million / 9 years

2020 – 2028

[businessinsider.com – Airbnb wins reported \\$500 million partnership for the 2020 Tokyo Olym
pics](https://www.businessinsider.com/airbnb-wins-reported-500-million-partnership-for-the-2020-tokyo-olympics)

ALLIANZ

8 years / no financial info

2021 – 2028 · approx. \$50M per year

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WHICH COMPANY HAS BECOME THE MOST RECENT OLYMPIC PARTNER – AND HOW MUCH DID THEY PAY?

Deloitte

\$1.3 billion / 8 years (2022 – 2028)

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SINCE JAN 2024

FIRST TIME A BEER COMPANY HAS BEEN A GLOBAL SPONSOR OF THE OLYMPICS

Why? Shared value?



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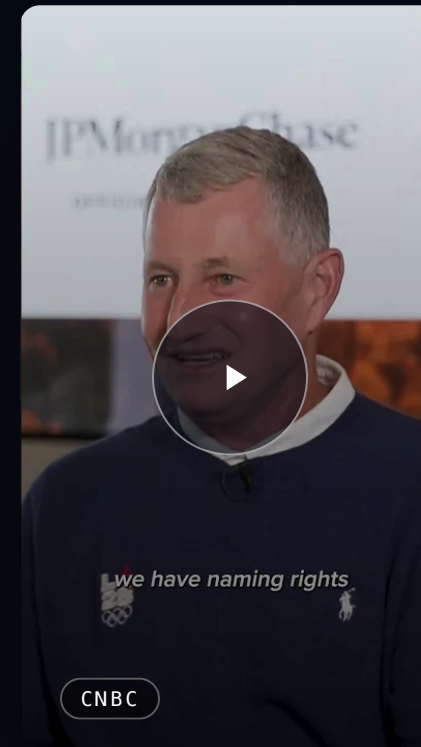
DISCUSSION

Why is JPMorganChase investing?

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- First ever global banking partner
- LA 2028 Olympic and Paralympic Games & French Alps 2030
- Plan to hire 100 additional bankers across Southern California
- Already has 5 million banking customers and 600,000 small business clients in LA



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DISCUSSION

**Which company do you think has the
longest partnership with the
Olympics?**

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COCA-COLA

- The Coca-Cola Company is the longest continuous sponsor of the Olympic Games.
- Their relationship started way back in the 1928 Amsterdam Olympics.
- A freight ship arrived in Amsterdam carrying the US Olympic Team and 1,000 cases of Coca-Cola. Bottles were sold at kiosks around the Olympic stadium and rowing course.



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TOP PROGRAM GROWTH

OLYMPIAD	GAMES	PARTNERS	PARTICIPATING NOCS	REVENUE (USD MILLIONS)
1985–1988	Calgary / Seoul	9	159	96
1989–1992	Albertville / Barcelona	12	169	172
1993–1996	Lillehammer / Atlanta	10	197	279
1997–2000	Nagano / Sydney	11	199	579
2001–2004	Salt Lake City / Athens	11	202	663
2005–2008	Torino / Beijing	12	205	866
2009–2012	Vancouver / London	11	205	950
2013–2016	Sochi / Rio	12	205	1,003
2017–2020/21**	PyeongChang / Tokyo	14–15	205	2,295
2021–2024	Beijing / Paris	15	206	3,040

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REVENUE SOURCES VS. OCOG* SPENDING (USD millions)

Revenue sources

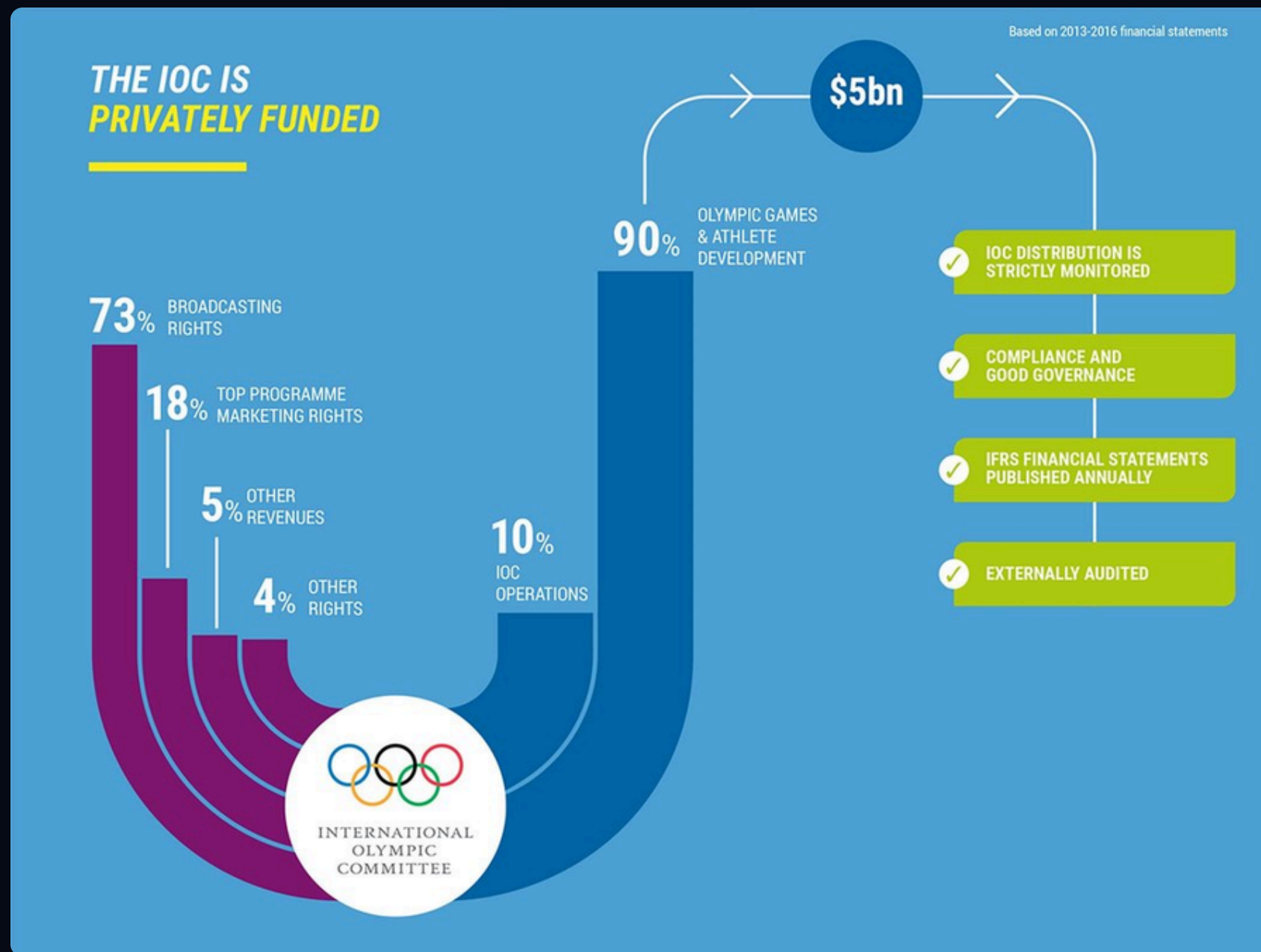
SOURCE	1993-96	1997-00	2001-04	2005-08	2009-12	2013-16	2017-20/21	2021-24
Broadcast	1,251	1,845	2,232	2,567	3,850	4,161	4,544	4,706
TOP Programme	279	579	663	866	950	1,003	2,295	3,040
Total	1,530	2,424	2,895	3,433	4,800	5,164	6,839	7,746

*OCOG – Organizing Committee for the Olympic Games

OCOG* spending

SOURCE	1993-96	1997-00	2001-04	2005-08	2009-12	2013-16	2017-21	2021-
Domestic Sponsorship	534	655	796	1,555	1,838	2,037	3,732	3,177
Ticketing	451	625	411	274	1,238	527	146	1,304
Licensing	115	66	87	185	170	74	131	242
Total	1,100	1,346	1,294	2,014	3,246	2,638	4,009	4,723

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Where IOC revenues go



- NOCs to help them support their athletes at national and local levels
- IFs to run and promote their sports globally
- Individual athletes and coaches, via Olympic Solidarity funding
- The Organising Committee of each Olympic Games
- Other Olympic Movement and sport organisations to promote worldwide development of sport
- IOC activities, projects and programmes aimed at supporting the staging of the Games and promoting the worldwide development of sport and the Olympic Movement

Olympic Solidarity



\$509m

Olympic Solidarity budget for 2017-2020 (in USD), representing the NOCs' share of Olympic broadcasting rights



In addition to these programmes, which aim to support athletes, coaches, administrators and promote the Olympic values, was an assistance programme to help the NOCs participate in the Olympic Winter Games PyeongChang 2018

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NBC

NBC is the IOC's single biggest broadcaster. (Ex: BBC, CBC, Eurosport/Discovery)

- 2021–32: **\$7.65 billion**, extended to 2036 for another \$3 billion
- 2020 Tokyo: **\$1.45 billion**
- 2024 Paris: **\$1.69 billion**
- Roughly more than **50%** of the IOC's worldwide broadcast rights
- NBC has its own designated zones and adds its own cameras to its coverage (nearly 100) — US-focused coverage, alongside the Olympic Broadcasting Services (OBS)



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CATEGORY EXCLUSIVITY

“The right of a sponsor to be the only company within its product or service category associated with the sponsored property.”

IEG, 2009

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WHY IS CATEGORY EXCLUSIVITY IMPORTANT?

Preclude any of the sponsor's competitors from associating with the same property.

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COMMERCIALS

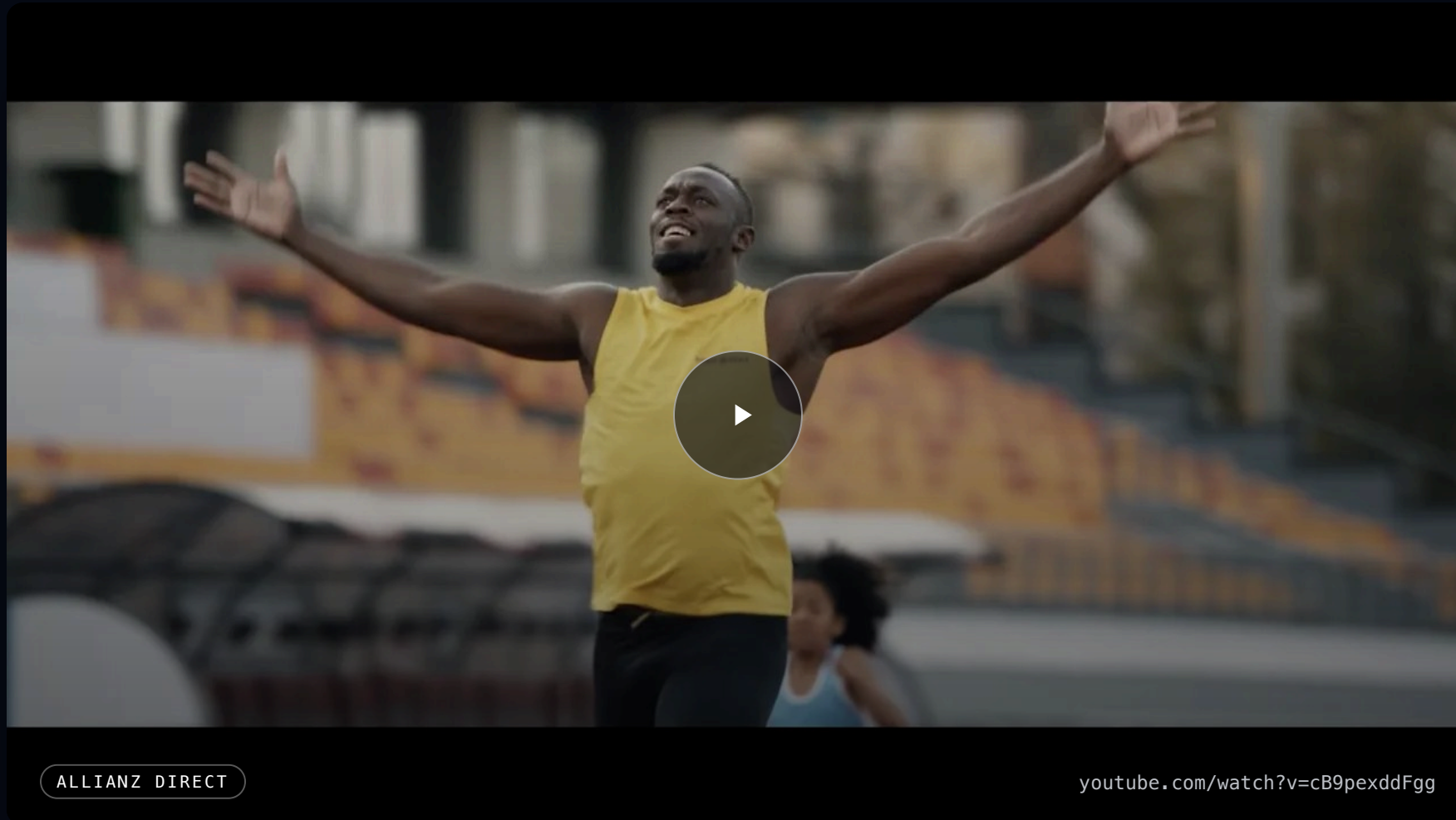
HOMES WITH POOLS



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COMMERCIALS

FUTURE SPORTS HEROES



ALLIANZ DIRECT

youtube.com/watch?v=cB9pexddFgg

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COMMERCIALS

COCA-COLA OLYMPICS



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**Read the 'BMW Deal' article in the
Module 4 Lecture Slide & Readings**

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BMW & TEAM USA

- In 2010, BMW signed a 6-year deal with the USOC worth **\$4 million annually**.
- Gained extensive media coverage.
- Built a new racing wheelchair for the U.S. Paralympic team in 2016, as well as a bobsled in 2014.



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- In 2012, BMW sold **6,000 additional cars** that year.
- Partnership with USA Swimming through 2020, and USA Bobsled & Skeleton through 2022.
- Individual sport-governing-body deals are far cheaper but don't allow BMW to call itself an Olympic Sponsor or use the rings.

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THE DOLLAR BREAKDOWN

FEDERATION	ANNUAL	TERM	TOTAL
USOC	\$4,000,000	× 6 years	\$24,000,000
USA Swimming	\$500,000	× 6 years	\$3,000,000
USA Bobsled & Skeleton	\$500,000	× 6 years	\$3,000,000

Mid six figures, annually.

Why swimming and bobsled?

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USA SWIMMING – PERFORMANCE TECHNOLOGY



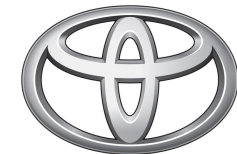
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NOT A WORLDWIDE PARTNER?



Individual federation deals

vs.



TOYOTA

Worldwide Olympic Partner (2015–2025)

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STRATEGY?

TV commercials via NBC — if Toyota does not buy category exclusivity.



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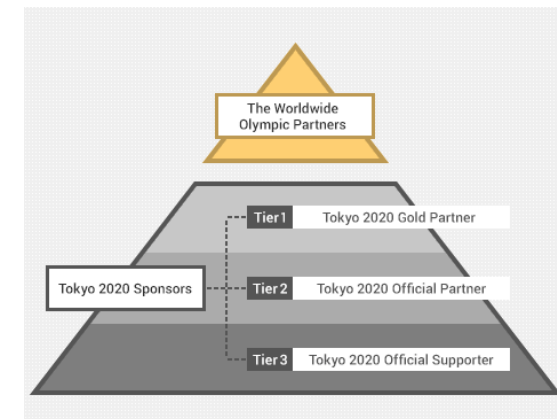


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SPONSORSHIP STRUCTURE

Beyond the Worldwide TOP Program, host organizing committees run their own domestic sponsor tiers — here, Tokyo 2020's.

Region of sponsorship is limited to Japan. Terms and conditions of sponsorship differ according to the category.



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FUTURE OLYMPIC & PARALYMPIC HOSTS



MILANO CORTINA
2026






FRENCH ALPS 2030
Olympic and Paralympic
Winter Games Host





Brisbane 2032
Olympic and Paralympic
Games Host
Queensland




LA
28





SALT LAKE CITY
UTAH 2034
Olympic & Paralympic
Winter Games Host


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QUESTIONS?

